

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester VI Examination, 2015-16

Paper No. BCH-321: Financial Analysis

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.**

Explain the meaning of “Analysis of Financial Statements”. Describe the different tools of financial analysis. [14]

OR

What are the objectives of Financial Analysis? State the stakeholders that are interested in the analysis of financial statements. [14]

Question 2.

Discuss the significance of ratio analysis. Also throw light on its limitations. [14]

OR

(a) The following is the Balance Sheet of New India Ltd. for the year ending 31st December, 2014: [8]

Liabilities	Amount (Rs.)	Assets	Amount (Rs.)
9% Preference Share Capital	5,00,000	Goodwill	1,00,000
Equity Share Capital	10,00,000	Land & Building	6,50,000
8% Debentures	2,00,000	Plant	8,00,000
Long-term Loan	1,00,000	Furniture	1,50,000
Bills Payable	60,000	Bills Receivables	70,000
Creditors	70,000	Debtors	90,000
Bank Overdraft	30,000	Bank Balance	45,000
Outstanding Expenses	5,000	Short-term Investments	25,000
		Pre-paid Expenses	5,000
		Stock	30,000
Total	19,65,000	Total	19,65,000

From the above Balance Sheet, calculate and comment on the following Ratios:

- (i) Current Ratio
- (ii) Acid-test Ratio
- (iii) Liquidity Ratio

(b) The capital of ABC Ltd. is as follows: [6]

9% Preference Shares of Rs. 10 each	Rs. 3,00,000
Equity Shares of Rs. 10 each	Rs. 8,00,000
Total	Rs. 11,00,000

The accountant has ascertained the following information:

- Profit after tax: Rs. 2,70,000 (tax rate is 60%)
- Equity Dividend Paid: 20% (Rs. 1,60,000)
- Market Price Per Equity Share: Rs. 40

You are required to calculate the following:

- (i) Earning Per Share (EPS)
 - (ii) Price Earning Ratio (P/E Ratio)
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Question 3.

Give a detailed format of a cash flow statement. How does it differ from a funds flow statement? [14]

OR

The Balance Sheet of Paschim Corporation Ltd. as on 31st December, 2014 and 2015 is as follows: [14]

Liabilities	2014 (Rs.)	2015 (Rs.)	Assets	2014 (Rs.)	2015 (Rs.)
11% Cum. Pref. Shares	—	30,000	Land & Building	60,000	50,000
Equity Shares	1,10,000	1,20,000	Plant	30,000	50,000
Reserve	4,000	4,000	Sundry Debtors	40,000	48,000
Profit & Loss A/c	2,000	2,400	Stock	60,000	70,000
9% Debentures	12,000	14,000	Bank	2,400	7,000
Provision for Taxation	6,000	8,400	Cash	600	1,000
Proposed Dividend	10,000	11,600			
Current Liabilities	49,000	35,600			
Total	1,93,000	2,26,000	Total	1,93,000	2,26,000

You are required to prepare a schedule of changes in working capital and a statement of Flow of Funds.

Question 4.

Explain the meaning and need of financial forecasting in business. [14]

OR

What is a Projected Income Statement? Explain the steps involved in preparing a projected income statement. [14]

Question 5.

Discuss the various methods suggested for determining the valuation of shares. [14]

OR

Compute the goodwill of a company from the following information: [14]

- (i) Capital employed: Rs. 3,00,000
- (ii) Outside liabilities: Rs. 90,000
- (iii) Profits of the preceding three years: Rs. 30,000, Rs. 28,000, and Rs. 38,000
- (iv) The normal rate of return: 10%
- (v) Interest earned Rs. 3,000 p.a. has been included in the profit of the last three years
- (vi) The fair remuneration to the proprietor of the business may be assumed as Rs. 800 p.m.

Calculate goodwill by:

- (a) Capitalisation of average profit method
- (b) Capitalisation of super profit method

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